

CHAPTER REVIEW QUESTIONS: Answers and Explanations

1. **b.** Capitalization is the factor that is used to consider options for the best way to fund a business's start-up and/or operations. All other answers are factors in the choice of entity but are unrelated to funding.
2. **b.** In many states, no formal filing is required to launch a sole proprietorship unless the principal is using a fictitious or trade name. In any case, no federal filing is necessary since business formation is typically a state statutory matter.
3. **a.** A sole proprietor has no liability protection for business debts. The lease payments are a business liability, and therefore they are also Franco's personal liability.
4. **d.** Sole proprietors have limited options for capitalization including private debt or commercial debt. Answer (a) is wrong because sole proprietors cannot sell equity.
5. **a.** Sole proprietorships end upon the death of the principal. Answers (b), (c), and (d) are incorrect because no renewal process is required and filing a personal tax return is simply a reporting of business profits and losses to taxing authorities.
6. **a. True.** Sole proprietors have limited options for capitalization, including private debt or commercial debt.
7. **b. False.** A sole proprietor has no personal liability protection for business debts.
8. **a. True.** Sole proprietors pay taxes on profits at their individual rates and report profits on their individual tax returns.
9. **a. True.** Each form of entity has owners, known as principals, of the business.
10. **b. False.** Sole proprietorships end upon the death of the principal, and ownership cannot be transferred.